Many of the numbers that we cannot count on, paradoxically, are produced by our federal government. As Kevin Phillips pointed out in his essay "Numbers Racket," published in the May 2008 issue of *Harper's* magazine, we're being grossly misled by government data, including the vital numbers that have become central to our national dialogue, such as our national output or gross domestic product (GDP), our unemployment rate, and our inflation rate.

- It turns out that our GDP includes so-called imputed income, such as the assumed value of income from living in our own homes, the benefits of free checking accounts, and the value of employer-paid insurance premiums. Such phantom income accounts for fully $1.8 trillion (!) of our $14 trillion GDP.
- The Bureau of Labor Statistics proudly reports that our mid-2008 unemployment rate is a relatively low 5.2 percent (albeit up from 5.0 percent earlier in the year). But the number of unemployed excludes workers too discouraged to look for a job, part-time workers looking for full-time jobs, those who want a job but aren't actively searching for one, and those who are living on Social Security disability benefits. If we include these unemployed souls, the unemployment rate nearly doubles, to 9.0 percent.
- The understatements in the consumer price index (CPI) are even more egregious. Years ago, the cost of living was changed to include "owner-equivalent rent," which sharply reduced the reported inflation rate during the recent housing boom. The concept of product substitution also was incorporated, meaning essentially that if top-grade hamburger gets too expensive, we substitute a cheaper grade. And (this is really true!) we don't count cost increases that are attributable to increased quality ("hedonic adjustments"). That is, if airfares double but air travel service is deemed twice as efficient, the calculated cost of air travel is unchanged.

Finance: Attributing Certitude to History